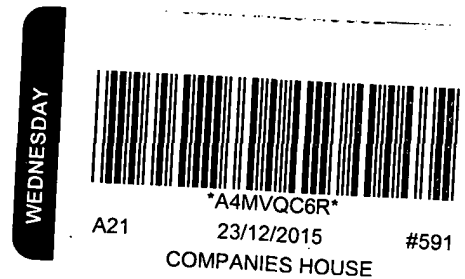


Alpha Financial Markets Consulting Limited

**Directors' report and financial
statements**

Registered number 04710715

31 March 2015



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Company information

Directors

Mr N Baker
Mr N Curham
Mr J Docker
Mr G Faragher-Thomas
Mr N Fienberg
Mr E Fraser
Mr B Lantorp
Mr S McNulty
Mr M Smith
Mr D Spencer
Ms N Spencer

Secretary

Mr N Baker

Company number

04710715

Registered office

60 Gresham Street
London
EC2V 7BB

Auditor

KPMG LLP
St Nicholas House
Park Row
Nottingham
NG1 6FQ

Bankers

HSBC Bank PLC
28 Borough High Street
Southwark
London
SE11YB

Directors' report

for the year ended 31 March 2015

The directors present their report and the audited financial statements for the year ended 31 March 2015.

Principal activities and review of the business

The principal activity of the company continued to be the provision of consulting and related services to clients in the asset and wealth management industries.

On 24 October 2013, Alpha FMC Group Limited bought the entire share capital of Alpha Financial Markets Consulting Group Limited, the parent of Alpha Financial Markets Consulting Limited.

Results and dividends

The results for the year are set out on page 6.

An interim ordinary dividend was paid amounting to £4,850,000 (2014: £600,000). The directors do not recommend payment of a final dividend (2014: £nil).

After deducting taxation, dividends and accounting for share based payments, reserves have been reduced by £781,000 (2014: £3,880,000 transferred to reserves).

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker	
Mr N Curham	
Mr J Docker	(appointed 1 April 2015)
Mr G Faragher-Thomas	
Mr N Fienberg	(appointed 1 April 2015)
Mr E Fraser	
Mr B Lantorp	
Mr S McNulty	
Mr M Smith	(appointed 1 April 2014)
Mr D Spencer	(appointed 1 April 2014)
Ms N Spencer	(appointed 1 April 2015)

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board


Mr N Baker

Director

22 December 2015

Strategic report

Business review

The company continued to perform well during the year, achieving an increase in turnover of 5% from £22,758,000 to £23,797,000. Trade Debtors increased to £4,319,000 from £3,908,000, an increase of 11% due in part to the increase in revenue and in part to an increase in average invoice value as a result of larger project sizes. There are no concerns about the recoverability of the main debtors.

Future developments

The business plan developed by the directors shows growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the company is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies.

By order of the board



Mr N Baker
Director

22 December 2015

Statement of directors' responsibilities in respect of the strategic report, directors' report and the financial statements

The directors are responsible for preparing the Directors' and Strategic Reports and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently,
- make judgements and accounting estimates that are reasonable and prudent,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.



Independent auditor's report to the members of Alpha Financial Markets Consulting Limited

We have audited the financial statements of Alpha Financial Markets Consulting Limited for the year ended 31 March 2015 set out on pages 6 to 16. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2015 and of its profit for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' and Strategic Reports for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Mark Flanagan *Senior Statutory Auditor*

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 22 December 2015

Profit and loss account
for the year ended 31 March 2015

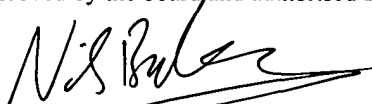
	<i>Note</i>	2015 £000	2014 £000
Turnover	2	23,797	22,758
Cost of sales		(15,957)	(15,468)
Gross profit		7,840	7,290
Administrative expenses		(3,122)	(2,958)
Operating profit	3	4,718	4,332
Other interest receivable and similar income	4	6	6
Profit on ordinary activities before taxation		4,724	4,338
Tax on profit on ordinary activities	5	(655)	(191)
Profit for the year	17	4,069	4,147

In both the current and preceding year, the company made no material acquisitions and had no discontinued operations. There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account.

Balance sheet
 as at 31 March 2015

	Note	2015 £000	2014 £000
Fixed assets			
Tangible assets	9	281	52
Investment	10	-	-
		<u>281</u>	<u>52</u>
Current assets			
Debtors	11	5,839	5,126
Cash at bank and in hand		4,182	5,931
		<u>10,021</u>	<u>11,057</u>
Creditors: amounts falling due within one year	12	<u>(4,520)</u>	<u>(4,546)</u>
Net current assets		<u>5,501</u>	<u>6,511</u>
Net assets		<u><u>5,782</u></u>	<u><u>6,563</u></u>
Capital and reserves			
Called up share capital	16	275	275
Profit and loss account	17	5,507	6,288
		<u>5,782</u>	<u>6,563</u>
Shareholders' funds	19	<u><u>5,782</u></u>	<u><u>6,563</u></u>

Approved by the board and authorised for issue on 22 December 2015



Mr N Baker

Director

Company registered number: 04710715

Notes

(forming part of the financial statements)

1. Accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are prepared in accordance with applicable United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), which have been applied consistently (except as otherwise stated) and under historical cost accounting rules.

The Company is exempt by virtue of s400 of the Companies Act 2006 from the requirement to prepare group financial statements as it is included in the consolidated financial statements of Alpha FMC Group Holdings Limited. These financial statements present information about the Company as an individual undertaking and not about its group.

Under FRS 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that a parent undertaking includes the company in its own published consolidated financial statements.

As the Company is a wholly owned subsidiary of Alpha FMC Group Holdings Limited, the Company has taken advantage of the exemption contained in FRS 8 and has therefore not disclosed transactions or balances with entities which form part of the group. The consolidated financial statements of Alpha FMC Group Holdings Limited, within which this company is included, can be obtained from the address given in note 21.

Turnover

Turnover represents amounts receivable for services, net of VAT. Turnover is recognised upon delivery of the service.

Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost less depreciation. Depreciation is provided at rates calculated to write off the cost less estimated residual value of each asset over its expected useful life, as follows:

Leasehold Land and buildings	over the lease term
Computer equipment	3 years straight line
Fixtures, fittings and equipment	4 years straight line

Investments

Fixed asset investments are stated at cost less provision for diminution in value.

Pensions

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit and loss account in the year they are payable.

Taxation

The charge for taxation is based on the profit for the year and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred taxation is provided in respect of material taxation deferred by timing differences between the treatment of certain items for taxation and accounting purposes. The deferred tax balance has not been discounted.

Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to profit and loss account.

Notes (continued)

1 Accounting policies (continued)

Share-based payments

The company has issued share options to certain directors and employees. These must be measured at fair value and recognised as an expense in the profit and loss account with a corresponding increase in equity. The fair value of the options is estimated at the date of grant using the Black-Scholes Option Pricing Model. The fair value is charged as an expense in the profit and loss account over the vesting period and adjusted each year to reflect the expected and actual level of vesting.

Dividends on shares presented within shareholders' funds

Dividends unpaid at the balance sheet date are only recognised as a liability at that date to the extent that they are appropriately authorised and are no longer at the discretion of the Company. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

2 Turnover

	2015 £000	2014 £000
<i>Geographical market</i>		
United Kingdom	15,460	12,460
Europe	1,299	882
Rest of the World	7,038	9,416
	<u>23,797</u>	<u>22,758</u>

3 Operating profit

	2015 £000	2014 £000
<i>Operating profit is stated after charging:</i>		
Depreciation of tangible fixed assets	53	33
Loss on disposal of fixed assets	1	1
Operating leases - Land and buildings	237	77
<i>Auditor's remuneration</i>		
- audit of these financial statements	23	28
- tax compliance services	7	8
	<u></u>	<u></u>

4 Investment income

	2015 £000	2014 £000
Bank interest	6	5
Other interest	-	1
	<u>6</u>	<u>6</u>

Notes (continued)

5 Taxation

	2015 £000	2014 £000
<i>Domestic current year tax:</i>		
UK corporation tax	643	11
Adjustment in respect of previous periods	(11)	(1)
Total current tax	632	10
<i>Deferred tax</i>		
Charge for the year	23	181
	655	191

Factors affecting the tax charge for the year

	2015 £000	2014 £000
Profit on ordinary activities before taxation	4,724	4,338
Profit on ordinary activities before taxation multiplied by the standard rate of UK corporation tax of 21% (2014: 23%)	992	998
<i>Effects of:</i>		
Non deductible expenses	8	96
Fixed asset differences	3	-
Other permanent differences	-	(893)
Group relief claimed	(335)	(9)
Marginal relief	-	(1)
Differences between depreciation and capital allowances	(29)	(3)
Adjustments to tax charges in respect of previous periods	(11)	(1)
Other short term timing differences	4	(177)
	(360)	(988)
Current tax charge for the year	632	10

Reductions in the UK corporation tax rate from 23% to 21% (effective from 1 April 2014) and 20% (effective from 1 April 2015) were substantively enacted on 2 July 2013. In the Budget on 8 July 2015, the Chancellor announced additional planned reductions to 18% by 2020. This will reduce the company's future current tax charge accordingly. The deferred tax liability at 31 March 2015 has been calculated on the rate of 20% substantively enacted at that date.

Notes (continued)

6 Directors' remuneration

	2015 £000	2014 £000
Remuneration for qualifying services	1,537	1,199
Company pension contribution to defined contribution schemes	13	10
	<u>1,550</u>	<u>1,209</u>

Remuneration disclosed above included the following amounts paid to the highest paid director:

	2015 £000	2014 £000
Remuneration for qualifying services	278	250
Company pension contribution to defined contribution schemes	1	1
	<u>279</u>	<u>251</u>

7 Employees

Number of employees

The average monthly number of employees (including directors) during the year was:

	2015 Number	2014 Number
Administrative	3	2
Sales	63	46
	<u>66</u>	<u>48</u>

Employment costs (including directors)

	2015 £000	2014 £000
Wages and salaries	6,254	4,372
Social security costs	922	810
Other pension costs	35	25
Costs of share option scheme	-	333
	<u>7,211</u>	<u>5,540</u>

8 Dividends

	2015 £000	2014 £000
Ordinary interim paid	4,850	600
	<u>4,850</u>	<u>600</u>

Notes (continued)

9 Tangible fixed assets

	Leasehold land and buildings £000	Computer equipment £000	Fixtures, fittings and equipment £000	Total £000
<i>Cost:</i>				
At 1 April 2014	38	157	35	230
Additions	161	75	47	283
Disposals	-	(1)	-	(1)
At 31 March 2015	199	231	82	512
<i>Accumulated depreciation:</i>				
At 1 April 2014	36	115	27	178
Charge for the year	17	30	6	53
Disposals	-	-	-	-
At 31 March 2015	53	145	33	231
<i>Net book value:</i>				
At 31 March 2015	146	86	49	281
At 31 March 2014	2	42	8	52

10 Fixed asset investments

	Shares in Subsidiary Undertakings £
<i>Cost:</i>	
At 1 April 2014 and 31 March 2015	1
<i>Net book value:</i>	
At 31 March 2015	1
At 31 March 2014	1

Holdings of more than 20%

The company holds more than 20% of the share capital of the following companies

Subsidiary undertakings	Country of incorporation	Shares held	
		Class	%
AFMC Employee Trustee Limited	United Kingdom	Ordinary	100.00

Notes (continued)

10 Fixed asset investments (continued)

The aggregate amount of capital and reserves and the results of these undertakings for the last relevant financial year were as follows:

Subsidiary undertakings	Principal activity	Capital and reserves 2015 £	Profit/(loss) for the year 2015 £
AFMC Employee Trustee Limited	Dormant company	1	-

AFMC Employee Trustee Limited has remained dormant throughout the year and was dissolved on 11 November 2015.

11 Debtors

	2015 £000	2014 £000
Trade debtors	4,319	3,908
Amounts due from other group companies	916	566
Other debtors	64	50
Corporation tax debtor	-	501
Prepayments and accrued income	540	101
	<u>5,839</u>	<u>5,126</u>

12 Creditors: amounts falling due within one year

	2015 £000	2014 £000
Trade creditors	782	911
Amounts owed to other group companies	180	1,103
Corporation tax	130	-
Deferred tax liability (note 13)	23	-
Other taxes and social security costs	1,029	532
Other creditors	-	7
Accruals and deferred income	2,376	1,993
	<u>4,520</u>	<u>4,546</u>

Notes (continued)

13 Deferred tax liability

The deferred tax liability, included in creditors (note 12) is made up as follows:

	2015 £000
Balance at 1 April 2014	-
Profit and loss account	23
Balance at 31 March 2015	23

	2015 £000	2014 £000
Accelerated capital allowances	(27)	(9)
Other timing differences	4	9
	23	-

14 Pension costs

During the year the company continued to operate a money purchase pension scheme with defined contribution levels for the benefit of employees and directors. The assets of the scheme are administered separately from those of the company in an independently administered fund. Contributions during the year amounted to £35,101 (2014: £25,331).

The number of directors accruing benefits under the scheme was three (2014: three).

15 Share-based payment transactions

The company operates a general employee share-option scheme for the benefit of certain directors and employees. The scheme has been in operation since November 2007.

Options granted under the scheme typically have a life of 10 years and vest within three years from the grant date, the vesting period varies depending upon the purpose of and the conditions attached to the individual options awarded. The vesting conditions associated with the share options granted are generally either performance or service related. All awards under the scheme are equity-settled, and all became exercisable when the parent company was sold.

The following share options were outstanding under the scheme:

	Number of options 2015	Weighted average exercise price (pence) 2015	Number of options 2014	Weighted Average exercise price (pence) 2014
At beginning of the year	-	-	107,368	506
Forfeited in year	-	-	(6,450)	269
Exercised in the year	-	-	(100,918)	535
At the end of the year	-	-	-	-
Options exercisable at the end of the year	-	-	-	-

Notes (continued)

15 Share based payment transactions (continued)

During the prior year, the following share options were exercised: 49,480 Ordinary 'ANV' shares of 10p each, with an estimated weighted average share price at the date of exercise of 10.29p; 24,450 Ordinary 'A' shares of 10p each at a weighted average share price at the date of exercise of £19.81; 3,788 Ordinary 'UK' shares of £3.10 each at a weighted average share price at the date of exercise of £15.93; 23,200 Ordinary 'C' shares of 10p each at a weighted average share price at the date of exercise of 10p.

In accordance with FRS 20 'Share-Based Payments', the fair value of each of the share options has been calculated by applying the Black-Scholes Option Pricing Model to the estimated share price on the grant date of the option.

The model inputs were the relevant share price at grant date, the exercise price as stated in the option agreement, expected volatility of 25%, no expected dividends, an option life based on the best estimate of the expected vesting period, and a risk-free interest rate of 3%.

To allow for the effects of early exercise, the option life is based on an estimate of the option's expected life rather than its contractual life.

Volatility has been determined based on historical volatility in the estimated share price.

No share options were granted in the current or prior year.

The total expense recognised, in the profit and loss account for the year, arising from share-based payment transactions was as follows

	2015 £000	2014 £000
Expense arising from equity-settled share based payment transactions	-	333

16 Called up share capital

	2015 £000	2014 £000
<i>Allotted, called up and fully paid:</i>		
275,000 ordinary shares of £1 each	275	275

17 Statement of movement on reserves

	Profit and loss £000
Balance at 1 April 2014	6,288
Profit for the year	4,069
Dividends paid	(4,850)
Balance at 31 March 2015	5,507

Notes (continued)

18 Related party relationships and transactions

In the prior year, the Directors were repaid the balances in their current accounts of £278,000.

The company has taken advantage of the exemption in Financial Reporting Standard Number 8 from the requirement to disclose transactions with group companies on the grounds that consolidated financial statements are prepared by the ultimate parent company.

19 Reconciliation of movement in shareholders' funds

	2015 £000	2014 £000
Profit for the financial year	4,069	4,147
Dividends paid	(4,850)	(600)
	(781)	3,547
Share based payment expense	-	333
Net movement in shareholders' funds	(781)	3,880
Opening shareholders' funds	6,563	2,683
Closing shareholders' funds	5,782	6,563

20 Commitments

At 31 March 2015 the company was committed to making the following payments under non-cancellable operating leases in the year to 31 March 2015:

	Land and buildings 2015 £000	2014 £000
<i>Operating leases which expire:</i>		
Within one year	-	18
Between two and five years	247	-
	247	18

21 Ultimate controlling party

The company has been controlled throughout the year by Alpha Financial Markets Consulting Group Limited and from 25 October 2014 by Alpha FMC Group Holdings Limited, the parent undertakings, which are both ultimately controlled by Baird Capital Partners. Group consolidated financial statements can be obtained from the registered office at 60 Gresham Street, London, EC2V 7BB.